

Standard Operating Procedures (SOPs)

Production Department

ABC Ltd. Kenya Reality – CFO-Controlled Edition

Zero Tolerance | Bullet-Proof Controls | Direct Oversight by CFO & Owner

Common Fraud Patterns – Production Department

1. Over-usage of raw materials to hide theft (classic – declare 1,000 kg extra sugar “used” = 1,000 kg stolen)
2. Under-reporting production (declare 18,000 L UHT but actually run 22,000 L → 4,000 L diverted & sold cash in black market)
3. Deliberate adulteration (adding water, vegetable oil, urea, caustic soda, detergents to milk to increase volume)
4. Fake machine downtime declared to run extra unauthorised night shifts (sell products cash)
5. Recycling rejected/faulty products back into production after changing batch codes
6. Fake batch codes & re-labelling expired/short-expiry stock
7. Deliberate over-packing (1,050 ml in 1,000 ml pouch → 50 ml extra × 50,000 pouches = 2,500 L free milk daily)
8. Under-packing (940 ml in 1,000 ml pouch → difference stolen)
9. Mixing returned/expired milk back into fresh milk tank
10. Fake cleaning cycles (CIP declared 4 hours but run only 30 min → balance time used for unauthorised production)
11. Fake quality failures – reject good milk to buy cheaper adulterated milk from outside

12. Selling rejected butter/ghee/powder in black market
13. Running plant on generator and siphoning diesel (declare 500 L but use 300 L)
14. Fake maintenance breakdowns to stop official production and run cash production
15. Ghost shifts – run plant at night with security guards, no record
16. Tampering with flow meters, weigh scales, level sensors
17. Creating fake product codes for cash sales
18. Taking bribes from packaging material suppliers to accept sub-standard films (which burst later – company loss)
19. Collusion with maintenance team to declare machines unrepairable and buy new ones on kickbacks

Detailed Production Department SOPs – CFO-Controlled Framework

1. Bill of Materials (BOM) & Recipe Locking

- Every SKU must have a **locked BOM** in the ERP with exact theoretical consumption per 1,000 L/kg.
- BOM changes allowed **only** with written approval from **CFO + CEO** after physical trial & Quality Head sign-off.
- System auto-calculates daily theoretical consumption based on declared production.
- Daily variance report (actual vs theoretical) emailed to CFO by 8:00 AM next day.
- **Tolerance levels:**
 - ±2% = normal
 - 2–4% = yellow flag (written explanation required)
 - >4% = red flag → immediate CFO video call + physical audit within 24 hours
- Monthly BOM audit by Nairobi internal audit team.

2. Production Planning & Declaration

- Daily production plan approved by Nakuru Plant Head + Nairobi Commercial Head latest by 4:00 PM previous day.
- No unapproved production allowed. Deviation requires **CFO WhatsApp approval + photo evidence**.
- Shift-wise declaration mandatory within 30 minutes of shift end.
- Declaration requires **three digital signatures** in ERP: Shift In-charge + Production Manager + Quality In-charge.
- Finished goods must be transferred to warehouse within 1 hour with system entry.

3. Real-Time Production Monitoring (Non-Negotiable)

- IP cameras with audio installed at all critical points (milk reception, pasteurizer, fillers, packaging, cold room, etc.).
- Live feed + night vision accessible 24/7 to CFO, CEO, and Owner via mobile app.
- Recordings retained for minimum 90 days.
- CFO / audit team can activate audio remotely without notice.

4. Flow Meters & Sensor Tamper Prevention

- All product & water lines use electromagnetic flow meters with pulse output directly to ERP (non-resettable).
- Meters sealed with numbered plastic seals + daily photographs uploaded.
- Broken seal → immediate suspension of shift in-charge + forensic investigation.
- Automated secondary check-weighing of every crate before cold room entry.

5. Weight-Based Reconciliation – Core Control

- Every crate/pallet passes through automated check-weigher.
- System auto-rejects under/over-weight crates.
- Daily report: actual dispatched weight vs theoretical BOM weight.

- Variance > 1.5% → automatic plant shutdown until root cause is resolved.

6. Yield Tracking & Low-Yield Triggers

- Daily yield report by 9:00 AM (e.g., milk → UHT $\geq 98.5\%$, milk → yoghurt $\geq 96\%$).
- Yield below target for 2 consecutive days → automatic suspension of Production Manager + CFO visit within 48 hours.
- Yield below target for 5 days in a month → termination of Production Manager.

7. Quality Control – Fully Independent

- Quality team reports directly to CFO (dotted line), independent of Plant Head.
- Random sampling by Quality Officer (not production staff) + testing in independent lab.
- One sealed retain sample per batch kept 90 days (key held by CFO nominee).
- Adulteration detected → immediate termination + police case + salary recovery.

8–18. Additional Critical Controls (Summary)

- IoT hour meters on major machines – sealed & ERP-linked
- Automated CIP logging (conductivity, temp, flow) – manual CIP prohibited
- Biometric + facial recognition attendance – no manual entries
- Diesel tank digital level sensor + daily ERP reconciliation
- Packaging material daily reconciliation (variance > 0.8% investigated)
- Rejected/returned goods in locked area – disposal only with video + multiple witnesses
- Unannounced CFO / audit visits $\geq$ twice monthly (including nights)
- Daily Production Dashboard emailed to CFO by 8:00 AM
- Monthly Production Review Meeting chaired by CFO (video recorded)
- Production Manager bonus linked to yield, variance, zero fraud
- Anonymous whistleblower WhatsApp to CFO & Owner – reward KES 100,000–500,000 for proven recovery

No excuses. No mercy. No leakage.

All controls are mandatory. Any compromise will result in immediate disciplinary action up to termination and legal proceedings.

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Effective: February 2026 | Subject to continuous strengthening